



Income Tax Department

Ministry of Finance, Government of India

Deduction in respect of contribution to pension scheme of Central Government.

80CCD. (1) Where an assessee, being an individual employed by the Central Government on or after the 1st day of January, 2004 or, being an individual employed by any other employer, or any other assessee, being an individual] has in the previous year paid or deposited any amount in his account under a pension scheme notified or as may be notified by the Central Government, he shall, in accordance with, and subject to, the provisions of this section, be allowed a deduction in the computation of his total income, of the whole of the amount so paid or deposited as does not exceed,—

- (a) in the case of an employee, ten per cent of his salary in the previous year; and
- (b) in any other case, twenty per cent of his gross total income in the previous year.

(1A) [***]

(1B) An assessee referred to in sub-section (1), shall be allowed a deduction in computation of his total income, whether or not any deductions is allowed under sub-section (1), of the whole of the amount paid or deposited in the previous year in his account under a pension scheme notified or as may be notified by the Central Government, which shall not exceed fifty thousand rupees:

Provided that no deduction under this sub-section shall be allowed in respect of the amount on which a deduction has been claimed and allowed under sub-section (1):

⁸⁸**Provided further** that the deduction under this sub-section shall also be allowed, where any payment or deposit is made to the account of a minor under the pension scheme referred to in the said sub-section, by the assessee, being the parent or guardian of such minor, subject to the condition that the aggregate amount of deduction under this sub-section shall not exceed fifty thousand rupees.]

(2) Where, in the case of an assessee referred to in sub-section (1), the Central Government or the State Government or any other employer makes any contribution to his account referred to in that sub-section, the assessee shall be allowed a deduction in the computation of his total income, of the whole of the amount contributed by the Central Government or the State Government or any other employer as does not exceed—

- (a) fourteen per cent, where such contribution is made by the Central Government or the State Government;
- (b) ten per cent, where such contribution is made by any other employer,

of his salary in the previous year:

⁸⁹**Provided** that where the total income of the assessee is chargeable to tax under sub-section (1A) of section 115BAC, the provisions of sub-section (2) shall have effect as if for the words "ten per cent" referred to in clause (b), the words "fourteen per cent" had been substituted.]

(3) Where any amount standing to the credit of the assessee ⁹⁰[or a minor, in his account or the account of a minor, as the case may be,] referred to in sub-section (1) or sub-section (1B), in respect of which a deduction has been allowed under those sub-sections or sub-section (2), together with the amount accrued thereon, if any, is received by the assessee or his nominee, in whole or in part, in any previous year,—

- (a) on account of closure or his opting out of the pension scheme referred to in sub-section (1) or sub-section (1B); or
- (b) as pension received from the annuity plan purchased or taken on such closure or opting out,

the whole of the amount referred to in clause (a) or clause (b) shall be deemed to be the income of the assessee or his nominee, as the case may be, in the previous year in which such amount is received, and shall accordingly be charged to tax as income of that previous year:

Provided that the amount received by the nominee, on the death of the assessee, under the circumstances referred to in clause (a), shall not be deemed to be the income of the nominee:

⁹¹**Provided further** that the amount received by a person, being the parent or guardian or nominee of a minor, on account of closure of the pension scheme referred to in sub-section (1B) due to the death of the minor, shall not be deemed to be the income of such person.]

^{91a}(3A) Where any amount standing to the credit of the assessee, being a subscriber to the Unified Pension Scheme, in his account referred to in sub-section (1) or sub-section (1B), in respect of which a deduction has been allowed under those sub-sections or sub-section (2), together with the amount accrued thereon, if any, is received by the assessee or his nominee, in whole or in part, in any previous year on account of his superannuation or voluntary retirement or retirement under clause (j) of rule 56 of the Fundamental Rules [which is not treated as penalty under the Central Civil Services (Classification, Control and Appeal) Rules, 1965, as may be applicable, the whole of the amount shall be deemed to be the income of the assessee or his nominee, as the case may be, in the previous year in which such amount is received, and shall accordingly be charged to tax as income of that previous year.]

(4) Where any amount paid or deposited by the assessee ⁹²[in his account or the account of a minor] has been allowed as a deduction under sub-section (1) or sub-section (1B),—

- (a) [***]
- (b) no deduction with reference to such amount shall be allowed under section 80C for any assessment year beginning on or after the 1st day of April, 2006.

(5) For the purposes of this section, the assessee shall be deemed not to have received any amount in the previous year if such amount is used for purchasing an annuity plan in the same previous year.

^{91a}(6) For the purposes of sub-section (3A), the assessee shall be deemed not to have received any amount in the previous year if such amount is transferred to pool corpus from individual corpus on account of his superannuation or voluntary retirement or retirement under clause (j) of rule 56 of the Fundamental Rules which is not treated as penalty under the Central Civil Services (Classification, Control and Appeal) Rules, 1965], as may be applicable.]

^{92a}**Explanation.**—For the purposes of this section,—

- (i) "pool corpus" and "individual corpus" shall have the same meanings as assigned to them in notification number FX-1/3/2024-PR, dated the 24th January, 2025, of the Department of Financial Services;



Income Tax Department

Ministry of Finance, Government of India

(ii) "salary" includes dearness allowance, if the terms of employment so provide, but excludes all other allowances and perquisites.]

88. Ins. by Act No. 7 of 2025, w.e.f. **1-4-2026**.

89. Ins. by Act No. 15 of 2024, w.e.f. 1-4-2025.

90. Sub. for "in his account" by Act No. 7 of 2025, w.e.f. **1-4-2026**.

91. Ins. by Act No. 7 of 2025, w.e.f. **1-4-2026**.

91a. Ins. by Act No. 29 of 2025, w.e.f. 1-4-2025.

92. Ins. by Act No. 7 of 2025, w.e.f. **1-4-2026**.

92a. Sub. by Act No. 29 of 2025, w.e.f. 1-4-2025.

